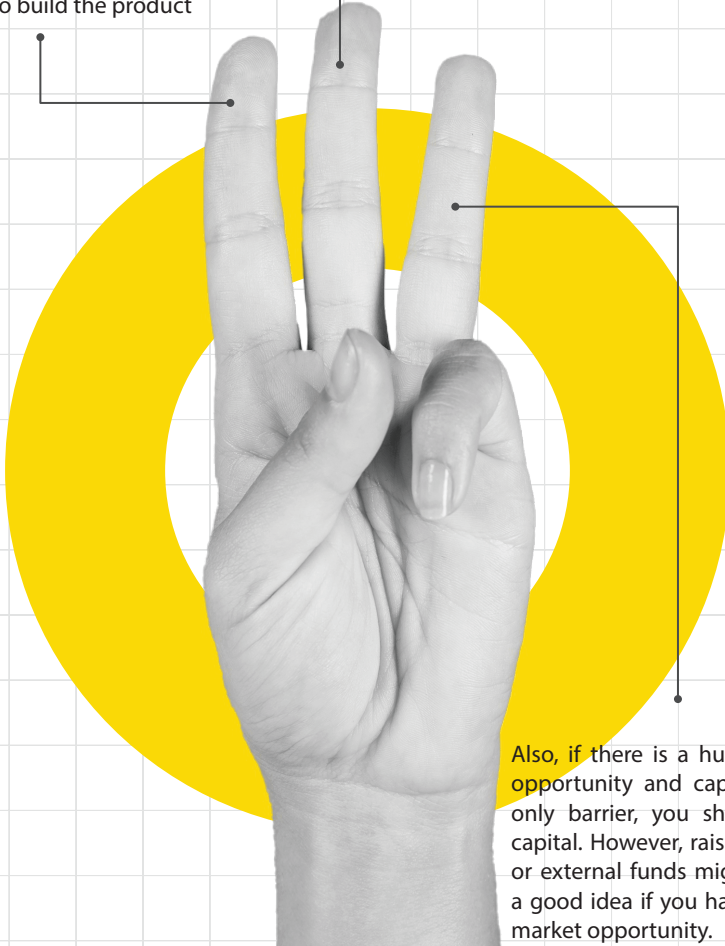


These are some of the general rules that you may follow. But these are not hard and fast rules. But general guidelines. These are multiple other factors and case specific factors that need to be considered as well.

Product businesses require more external capital upfront as compared to service businesses to build the product

Low gross margin businesses require higher external capital, and very high gross market businesses can scale quickly using their own profits.



Also, if there is a huge market opportunity and capital is the only barrier, you should raise capital. However, raising capital or external funds might not be a good idea if you have a small market opportunity.

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